

NYKAA IPO ANALYSIS

EXECUTIVE SUMMARY

Company

Nykaa (FSN E-Commerce Ventures Ltd.)

Analysis Period

FY2022–FY2026

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BUSINESS QUESTION

DID NYKAA'S FINANCIAL PERFORMANCE JUSTIFY THE PREMIUM VALUATION INVESTORS PAID DURING ITS IPO?

PROJECT OBJECTIVE

The objective of this case study was to evaluate Nykaa's financial performance during the five years following its IPO. Using historical financial statements, ratio analysis, and dashboard-based insights, the project assesses whether the company's business fundamentals have progressed enough to support the high expectations that existed at the time of listing.

FINANCIAL SNAPSHOT

Metric	FY22	FY26
Revenue	₹3,774 Cr	₹10,022 Cr
Net Profit	₹41 Cr	₹204 Cr
Operating Margin	4.35%	7.50%
Operating Cash Flow	−₹354 Cr	₹644 Cr
Free Cash Flow	−₹448 Cr	₹493 Cr

KEY FINDINGS

Revenue increased from **₹3,774 Cr** to **₹10,022 Cr**, delivering a **21.6% CAGR**.

Operating margin improved from **4.35%** to **7.50%**, reflecting better operational efficiency.

Operating and free cash flow recovered significantly, turning positive by the later years of the analysis.

Total assets expanded alongside business growth, although borrowings also increased during the same period.

FINAL CONCLUSION

Based on this analysis, I believe Nykaa has **partially justified** the premium valuation assigned during its IPO. The company has delivered strong revenue growth, improving profitability, and healthier cash flows, demonstrating stronger business fundamentals than immediately after listing.

At the same time, profit margins are still developing, and increasing borrowings highlight the need for continued operational improvement. Overall, the business is moving in a positive direction, but there is still scope to strengthen long-term shareholder value.

SKILLS DEMONSTRATED

- Financial Statement Analysis
- Ratio Analysis
- Trend Analysis
- Business Storytelling
- Excel Dashboard Development
- Executive Reporting
- Investment Research